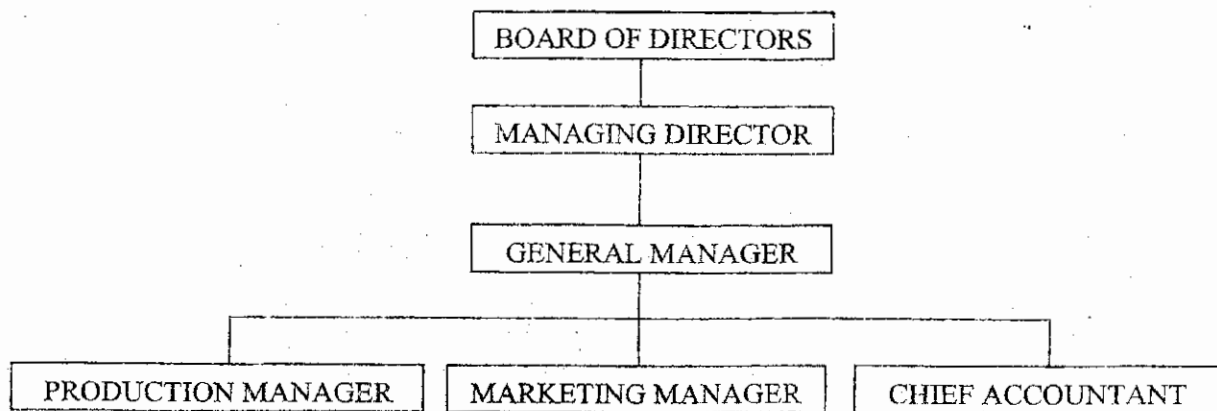


1. Which of the following is NOT a function of money?
 - (A) Indivisibility
 - (B) Store of value
 - (C) Measure of value
 - (D) Medium of exchange
2. Which of the following are functions of a business unit?
 - I. Creation of jobs
 - II. Education of workers
 - III. Maximization of sales
 - IV. Production of goods and services
 - (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only
3. Which of the following characteristics of the sole trader form of business is NOT advantageous to the owner?
 - (A) Unlimited liability
 - (B) Low operational costs
 - (C) Ownership of all profits
 - (D) Rapport with customers
4. In a public limited company, the losses are borne by the
 - (A) staff
 - (B) directors
 - (C) community
 - (D) shareholders
5. Which of the following types of business environments is MOST typical of the Commonwealth Caribbean?
 - (A) Corporate state
 - (B) Mixed economy
 - (C) Centrally planned
 - (D) Perfectly competitive
6. Which of the following responsibilities MUST be assumed by the management of a company?
 - I. Producing goods of a marketable quality
 - II. Maximizing efficiency and creating surpluses
 - III. Determining dividends to be paid to shareholders
 - IV. Maintaining good communication and human relations with staff
 - (A) II only
 - (B) II and III only
 - (C) II, III and IV only
 - (D) I, II, III and IV

Item 7 refers to the diagram below which shows a section of a typical vertical organizational chart for a manufacturing company.



7. The relationship between the highest level of management down to the various departments is known as the

(A) line
(B) rank
(C) staff
(D) flow

8. Setting objectives and the procedures for achieving goals are referred to as

(A) motivating
(B) controlling
(C) organising
(D) planning

9. A MAJOR role of a trade union is to encourage

(A) staff to become members of the union
(B) staff to strike whenever they have problems at work
(C) advancement of the welfare of its members
(D) management to pay higher salaries and give longer vacations to staff

10. The PRIMARY role of the Human Resources Department of a firm is to

(A) hire, recruit, train and motivate employees
(B) promote recreational activities for employees
(C) compile magazines highlighting outstanding employees
(D) assist employees in understanding industrial relations

11. Which of the following organizations is LEAST likely to use a Management Information System?

(A) A department store
(B) The National Bank
(C) A shoe-shine shop
(D) A beauty supplies outlet

12. Which of the following are functions of the entrepreneur?
- I. Providing finance needed for production
 - II. Co-ordinating the factors of production
 - III. Undertaking risks by anticipating demand
 - IV. Ensuring that workers join a union
- (A) I and II only
(B) II and IV only
(C) I, II and III only
(D) I, III and IV only
13. Cash used to secure a loan at the bank is referred to as
- (A) fixed deposits
(B) current assets
(C) fixed assets
(D) collateral
14. Which of the following situations illustrates entrepreneurship?
- (A) A secretary who uses a computer application to do her job
(B) A farmer who uses the fork to plough his land
(C) An assistant who developed a software application for his job
(D) An employee who goes to work on time and does his work well
15. An entrepreneur may reduce his risk of loss by
- (A) planning ahead
(B) securing bank loans
(C) cleaning offices regularly
(D) purchasing additional fixed assets
16. An overview of a business plan is contained in the
- (A) feasibility plan
(B) marketing plan
(C) key note summary
(D) executive summary
17. Which of the following factors prevents an agreement from being considered a valid contract?
- (A) Consideration
(B) Legal purpose
(C) Misrepresentation
(D) Offer and acceptance
18. The monthly payments collected by an insurance company on behalf of its policy holders are known as
- (A) deposits
(B) premiums
(C) instalments
(D) endowments
19. Which of the following describes an essential feature of a valid contract?
- (A) The offer has been communicated to the offeree.
(B) The offer is made in writing by the offeror.
(C) A counter offer has been made by the offeree to the offeror.
(D) The acceptance is made in writing to the offeror
20. A post-dated cheque is one which
- (A) is dated for payment at a future date
(B) was written no longer than six months ago
(C) is dated to agree with the date of the document requesting payment
(D) is dated by the bank's date on the day the cheque is presented for payment

21. The money used for the day-to-day operations of a business is called
- (A) fixed capital
 - (B) nominal capital
 - (C) floating capital
 - (D) working capital
22. Which of the following is LEAST likely to result from growth in an organization?
- (A) Greater productivity
 - (B) More division of labour
 - (C) Increased communication
 - (D) Increased capital investment
23. What is the MOST likely effect on a developing economy when professional and skilled labour migrate to developed countries?
- (A) Unskilled labourers will work harder
 - (B) Unskilled labourers will demand higher wages.
 - (C) Production levels of goods and services will decrease.
 - (D) The demand for skilled labour and professional services will decrease.
24. In the Caribbean, many people are hired for sugarcane farming and very little equipment is used. This industry can BEST be described as
- (A) labour intensive
 - (B) capital intensive
 - (C) having low capital input
 - (D) having high capital input
25. Which of the following factors of production earns interest?
- (A) Land
 - (B) Capital
 - (C) Labour
 - (D) Enterprise
26. Which of the following factors does NOT affect the supply of labour?
- (A) Migration
 - (B) Birth rate
 - (C) Population census
 - (D) School-leaving age
27. Which of the following is a product of the manufacturing industry?
- (A) Gold
 - (B) A car
 - (C) Lumber
 - (D) A house
28. Which of the following can be described as a marketing activity?
- (A) Issuing bulletins on staff matters
 - (B) Distributing commodities to outlets
 - (C) Publicising advertisements for new staff
 - (D) Ensuring that workers are given fringe benefits
29. The PRIMARY function of advertising is to
- (A) communicate information
 - (B) promote brand loyalty
 - (C) ensure wider distribution of goods
 - (D) promote public relations
30. Which of the following market situations is typically found where there is a large number of producers and consumers?
- (A) Imperfect market
 - (B) Perfect market
 - (C) Monopoly
 - (D) Oligopoly

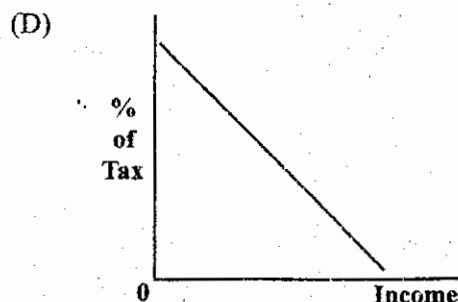
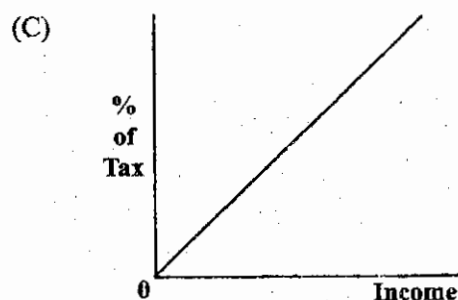
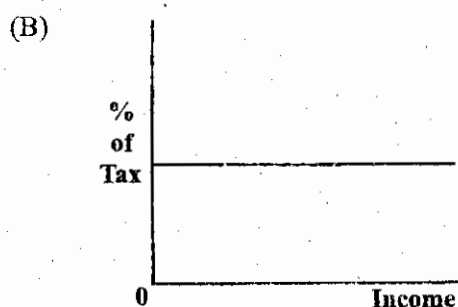
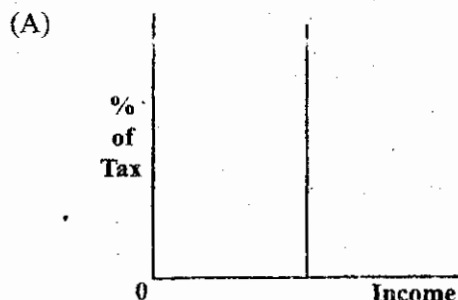
31. Which of the following characteristics BEST describes a perfectly competitive market?
- (A) Few sellers and many buyers
 - (B) Difficult entry to new markets
 - (C) Production of almost identical goods
 - (D) Imperfect consumer knowledge of prices
32. The price of an item is usually high when the number of people wanting to buy it is
- (A) large and the quantity for sale is small
 - (B) large and the quantity for sale is large
 - (C) few and the quantity for sale is small
 - (D) few and the quantity for sale is large
33. Which of the following is NOT a function of the retailer?
- (A) Selling in small quantities
 - (B) Preparing goods for resale
 - (C) Providing a local supply of goods
 - (D) Transporting goods to suitable storage facilities
34. Which of the following MUST be taken into account when packaging goods for retail?
- I. Cost
 - II. Brand
 - III. Protection
 - IV. Attractiveness
- (A) I and III only
 - (B) II and IV only
 - (C) III and IV only
 - (D) I, II, III and IV
35. Which of the following can have their shares traded on the stock exchange?
- (A) Co-operative societies
 - (B) Private companies
 - (C) Public companies
 - (D) Partnerships
36. Tom invests his savings by buying shares in a company. From this investment, Tom expects to receive
- (A) profits
 - (B) interest
 - (C) revenue
 - (D) dividends
37. Which of the following are responsibilities of commercial banks?
- I. Controlling the supply of money
 - II. Offering loans to small businesses
 - III. Accepting deposits from customers
 - IV. Acting as bankers to the government
- (A) I and II only
 - (B) II and III only
 - (C) I, II and III only
 - (D) II, III and IV only
38. One of the MAJOR functions of a Central Bank is to
- (A) issue notes and coins
 - (B) accept deposit accounts
 - (C) issue stocks and shares
 - (D) make loans and advances
39. Investment can be defined as
- (A) the stock of goods in a country
 - (B) additions to the capital stock of a country
 - (C) the amount of money available at a given time
 - (D) the amount of capital owned by the government

GO ON TO THE NEXT PAGE

40. Which of the following institutions are NOT regulated by Central Banks?

- (A) Credit unions
- (B) Stock exchanges
- (C) Commercial banks
- (D) Joint stock companies

41. Which of the following graphs shows regressive taxation?



42. The term 'subsidies' refers to

- (A) grants given by government
- (B) taxes withheld by government
- (C) loans given to small businesses
- (D) profits realized from investment

43. Which of the following measures are used by government to redistribute income?

- (A) Custom duties and levies
- (B) Consumption tax and tariffs
- (C) PAYE and national insurance
- (D) Excise duties and value added tax

44. Tax paid on wages and salaries is referred to as

- (A) income tax
- (B) corporation tax
- (C) value added tax
- (D) consumption tax

45. Which of the following is NOT regarded as a role of taxation?

- (A) Raising revenue for government
- (B) Influencing the distribution of incomes and wealth
- (C) Influencing total expenditure on goods and services
- (D) Influencing the investment decisions of publicly owned enterprises

46. Which of the following forms of taxation can be classified as 'direct'?

- (A) Excise duty
- (B) Income tax
- (C) Customs duty
- (D) Purchase tax

47. Which of the following institutions is involved in protecting the consumer?
- (A) Bureau of Standards
 - (B) Forestry Department
 - (C) International Monetary Fund (IMF)
 - (D) Natural Resources Conservation Authority (NRCA)
48. A government can correct an adverse foreign exchange problem by
- (A) implementing price floors
 - (B) increasing customs duties
 - (C) reducing severance payments
 - (D) improving the rate of inflation
49. Which of the following are **LIKELY** to affect the standard of living in a country?
- I. A high crime rate
 - II. A low literacy rate
 - III. Widespread pollution
 - IV. Poor advertisements
- (A) II and III only
 - (B) II and IV only
 - (C) I, II and III only
 - (D) II, III and IV only
50. Which of the following practices would **NOT** contribute to the economic development and growth of a country?
- (A) Increased importation of consumer goods
 - (B) Increased use of the country's natural resources
 - (C) Provision of more infrastructure within the country
 - (D) Provision of loans and technical assistance for establishing local businesses
51. Which of the following is **NOT** a benefit of international trade?
- (A) Political links are developed with other countries.
 - (B) Producers are able to increase their market size.
 - (C) A greater variety of goods is obtained from overseas.
 - (D) Import restrictions can be imposed on foreign items.
52. Export licences are issued **MAINLY** to
- (A) enable the government to control the flow of goods being exported
 - (B) encourage local businesses to produce more goods for export
 - (C) indicate to the importing country that the goods are of a high standard
 - (D) indicate to the importing country the price at which the goods are to be sold
53. A country has a favourable balance of trade when
- (A) it buys more than it sells
 - (B) it sells more than it buys
 - (C) imported goods are cheaper
 - (D) there are no restrictions to trade
54. The buying and selling of goods and services among countries is called
- (A) balance of trade
 - (B) international trade
 - (C) balance of payment
 - (D) international marketing

55. Which of these methods can a government use to reduce unemployment?
- (A) Increases in income tax
 - (B) Deflation of the economy
 - (C) Employment levy on firms
 - (D) Increased interest rates on borrowing
56. To correct an adverse balance of payments position, a government may
- (A) reduce credit
 - (B) increase exports
 - (C) reduce income tax
 - (D) increase the money supply
57. Which of the following trading agreements is Barbados promoting when it sells furniture to Jamaica?
- (A) CARICOM
 - (B) NAFTA
 - (C) GATT
 - (D) OECS
58. Which of the following practices may be MOST appropriate in solving the unemployment problem in a developing country with a large labour force?
- I. Increase in salaries
 - II. Increased mechanisation
 - III. Increase in vocational training programmes
 - IV. Greater production through increased labour
- (A) I only
 - (B) I and II only
 - (C) II and III only
 - (D) III and IV only
59. Which of the following are MAJOR arguments in favour of free trade?
- I. Protectionism
 - II. Trade specialization
 - III. Increase in world output
 - IV. Comparative cost advantage
- (A) I and IV only
 - (B) II and III only
 - (C) I, II and III only
 - (D) II, III and IV only
60. Which of the following countries are NOT members of the Organization of Eastern Caribbean States?
- (A) Anguilla, Grenada
 - (B) Antigua and Barbuda
 - (C) Barbados, Jamaica
 - (D) Dominica, St. Lucia

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.